

In this day of widespread unionization, those companies that still have no union or a company union probably also have well above average labor and personnel relations. If they did not, the unions would have organized them long ago. The investor can feel rather sure, for example, that Motorola, located in highly unionized Chicago, and Texas Instruments, Inc., in increasingly unionized Dallas, have convinced at least an important part of their work force of the company's genuine desire and ability to treat its employees well. Lack of affiliation with an international union can only be explained by successful personnel policies in instances of this sort.

On the other hand, unionization is by no means a sign of poor labor relations. Some of the companies with the very best labor relations are completely unionized, but have learned to get along with their unions with a reasonable degree of mutual respect and trust. Similarly, while a record of constant and prolonged strikes is a good indication of bad labor relations, the complete absence of strikes is not necessarily a sign of fundamentally good relations. Sometimes the company with no strikes is too much like the henpecked husband. Absence of conflict may not mean a basically happy relationship so much as fear of the consequences of conflict.

Why do workers feel unusually loyal to one employer and resentful of another? The reasons are often so complex and difficult to trace that for the most part the investor may do better to concern himself with comparative data showing how workers feel, rather than with an attempt to appraise each part of the background causing them to feel that way. One series of figures that indicates the underlying quality of labor and personnel policies is the relative labor turnover in one company as against another in the same area. Equally significant is the relative size of the waiting list of job applicants wanting to work for one company as against others in the same locality. In an area where there is no labor surplus, companies having an abnormally long list of personnel seeking to enter their employ are usually companies that are desirable for investment from the standpoint of good labor and personnel relations.

Nevertheless, beyond these general figures there are a few specific details the investor might notice. Companies with good labor relations usually are ones making every effort to settle grievances quickly. The small individual grievances that take long to settle and are not considered important by management are ones that smoulder and finally flare up seriously. In